

Modeling Income and Wealth Inequality

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Heterogeneous - Agent Matching (HAM) model:

- heterogeneous wealth: each household i starts with endowment of money μ_i

→ captures wealth inequality

$$\rightarrow \sum_i \mu_i = \mu$$

- heterogeneous capacity each household i provides k_i services to market

→ captures inequality in capital holdings, in human capital^{experience}, in social capital, and heterogeneity in taste for work / leisure

$$\rightarrow \sum_i k_i = k$$

→ generates income inequality